

SUPPLIER RELATIONSHIPS

GRI 2-6 b ii, 408-1,409-1

UNGC Principle 4, 5

Strategic priorities in 2024/25

- Deepened engagement through continuous, direct, in-person interactions with our extensive supplier base.
- Emphasised responsible sourcing and upheld strong ethical standards across all procurement activities.
- Utilised our operational scale to access raw material sources requiring advanced supply chain capabilities and resource allocation.
- Deployed personnel to Indonesia, India, Philippines, and Vietnam to strengthen supplier engagement through in-person interaction.
- Invested significant resources to develop a local supplier network for our greenfield investment in the Philippines.

- Commenced charcoal production in Galle, Sri Lanka.
- Established a new charcoal purchasing outlet in Makassar, Indonesia.
- Maintained focus on propagating green charcoaling practices in line with our sustainability commitments.

Considerable resources were invested in strengthening our supply chain to ensure an uninterrupted supply of raw materials during the year under review. We continued to deepen relationships with existing suppliers in Sri Lanka, Thailand, Indonesia, India and the Philippines while forging new partnerships to broaden our global supplier network.

Our procurement policy outlines our approach to creating value for our suppliers and establishes the minimum standard all Group companies must follow

OUR SUPPLIER VALUE PROPOSITION



Delivering Results in 2024/25

248

New coconut shell and charcoal suppliers added to our global supplier network.

Rs. 14.9 Bn

Payments to coconut shell and charcoal suppliers.
(Rs.7.4 Bn payments to chemical and other suppliers)

Rs. 20.6 Mn

Invested in capacity building of suppliers.

44 %

Supplies sourced from green charcoaling practices

91 %

Payments to local coconut shell and charcoal suppliers

in procurement. This ensures compliance with all legal and regulatory requirements while ensuring consistency in implementation across the Group, enabling ethical and responsible value creation for suppliers. Our procurement policy specifically prohibits the use of child labour and forced and compulsory labour across our supply chain. Accordingly, no incidents of child labour or forced/ compulsory labour were reported during the year under review.